China's Foreign Aid: Altruism or Neocolonialism?

Maitreyi Sreenivas[1], Nethra Natarajan[1], Pooja Ravi[1]

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[1] Ashoka University

ABSTRACT

In the past few decades, China has emerged as a primary lender to nations - for many developing countries a lender of last resort, and for others a strategic investor. In volume and geographical penetration of credit, by many estimates it is matched only by the World Bank and no other multilateral or bilateral international financier. The nature of its investments and the terms of its credit have prompted debates on China's objectives, and has led to discussions on 'debt-trap diplomacy' and its lending strategy. This paper aims to explore existing literature on China's lending practices and discuss why countries increasingly seem to prefer Chinese aid and investment. It examines China's motivations to invest in other nations, particularly in those having poor credit ratings - do they have a desire to aid the economic development of low-income nations, or are they driven by neo-colonial interests?

1 INTRODUCTION

After the end of the Maoist era, the People's Republic of China (PRC) started closely following a new yin-yang philosophy of 'welcoming in' and 'going out'.[1] 'Welcoming in' promotes domestic capital formation whereas 'going out' refers to the subsequent exit of surplus capital through investments in foreign countries. The combination of both increases access to foreign markets, resources and technological advancement, leading to accumulation of foreign reserves.[2] Introduced by Deng Xiaoping, these economic development policies first encouraged foreign direct investment (FDI) in China by introducing foreign capital into the economy in the late seventies and early eighties. Once internal development was achieved, the 'going out' policy kicked in from the late eighties and early nineties with non-state-owned enterprises now allowed to invest in foreign countries as well, given that they formed partnerships with "suitable foreign entities" and invested enough capital.[3] In the nascent years of the 'going out' policy, China invested with a major focus on trade and supporting businesses in industries such as distribution

[1] "China's 'Going Out' Strategy," n.d. https://www.diplomaticourier.com/posts/china-s-going-out-strategy.
[2] Ibid.
[3] Ibid.

and marketing. Since the early 2000s, after gaining membership to the World Trade Organisation (WTO), China transformed itself from a country that exported goods to a country that now exported capital by exploiting the free trade guidelines of the WTO and a global investor.[4]

The Belt and Road Initiative (BRI) announced by Xi Jinping in 2013 aimed at increasing Chinese investments specifically in foreign infrastructural development projects such as development of the Silk Road economic belt (China to Europe through central Asia), the maritime Silk Road (connecting south-east Asia, Africa, Middle East and China through sea) and the Digital Silk Road that would foster regional cooperation in finance and technology in almost one hundred and fifty international organisations and countries.[5] Goh and Liu show that Chinese investment presence in Southeast Asia increased at the onset of the 2008 Global Financial Crisis since it coincided with the first peak of the 'going out' policy.[6] The second peak occurred between 2013-17 after the announcement of the BRI. Previously heavily dependent on the energy sector, investments were now diversified into industries such as metal and infrastructure from 2011.[7] According to the Chinese Loans to Africa (CLA) database, Chinese creditors have loaned approximately $160 billion to African government and state-owned enterprises from 2000 to 2020, with the most volume lent to Angola, Ethiopia, Zambia, Kenya and Sudan.[8] The data is similar for investments in Latin America, with natural and raw material resource-rich countries being targeted for increasing investments.[9]

China has increasingly become the sole creditor to multiple countries, so much so that by certain estimates, it has surpassed the World Bank and the IMF as well.[10] Typically, it invests in energy, telecommunications, and manufacturing, with a special emphasis on infrastructural projects such as dams, bridges, roads and airports.[11]

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[4] "China's 'Going Out' Strategy."
[5] Perla Farias, "A New Era of Neocolonialism: China and the Belt and Road Initiative in the Asian Subcontinent" (B.A. Thesis, University of Texas at San Antonio, 2021), 2.
[6] Evelyn Goh and Nan Liu, "Chinese Investment in Southeast Asia, 2005-19: Patterns and Significance," *SEARBO Policy Briefing, New Mandala*, August 2021, 3.
[7] Ibid.,5.
[8] "Chinese Loans to Africa Database," Boston University Global Development Policy Centre, 2022, https://www.bu.edu/gdp/chinese-loans-to-africa-database/.
[9] "China's 'Going Out' Strategy."
[10] Sebastian S. Horn, Carmen Reinhart, and Christoph Trebesch, "China's Overseas Lending," *Journal of International Economics*, 2019,12, https://doi.org/10.3386/w26050.
[11] "China's Foreign Aid (2014)," *The State Council of the People's Republic of China* (Information Office of the State Council, 2014), http://english.www.gov.cn/archive/white_paper/2014/08/23/content_281474982986592.htm.

The primary question this paper examines is regarding China's motivations towards lending to other countries, specifically credit-constrained ones with poor credit ratings. China's official aims for foreign investments are to promote economic, social and human resource development and improve people's livelihoods in Least Developed Countries (LDCs) by improving agriculture, developing infrastructure, ensuring technological cooperation and promoting trade development.[12] However, there exists another viewpoint opining that China is driven by its desire to gain money, gain direct access to raw materials, and secure its position in international politics.[13]

This paper explores whether China's intentions are altruistic, with the aim of helping countries achieve their development goals, or whether their investments are in pursuit of geo-strategic interests. The latter has implications not only for the sovereignty of debtor countries, which has far-reaching impacts on global diplomacy, but also economic relations, considering China's share of the public debt burden of developing countries, making the threat of asset seizure more significant. These questions are poignant in light of China's alleged strategy of lending to economically weak and politically unstable countries, leaving them heavily dependent on Chinese aid and vulnerable to China's influence. This "debt-trap diplomacy" strategy, coined by Brahma Chellaney, is now the subject of much discussion.[14]

The rest of the paper is organised as follows. Section 2 examines China as a creditor and Section 3 discusses the origin of China's funds. The differences between China's and the World Bank's lending policies as well as the terms and conditions of the Chinese government's policy that aims to maximise profit are explored in Section 4. The paper finds that the two differ significantly in terms of the concessionality offered in the terms of foreign loans. Next, Section 5 compares Chinese aid policy with that of Western countries in the context of Africa and examines why African countries seem to distinctly prefer Chinese aid over Western aid. Finally, Section 6 discusses the possibility of China engaging in "debt-trap diplomacy" by analysing its lending behaviour in Latin America to see whether China's motivations extend beyond the

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[12] Ibid.

[13] Moisés Naím, "Opinion | Help Not Wanted," The New York Times, February 15, 2007, https://www.nytimes.com/2007/02/15/opinion/15naim.html?_r=0&mtrref=undefined&assetType=opinion.

[14] Brahma Chellaney, "China's Debt-Trap Diplomacy," Project Syndicate, August 30, 2017, https://www.project-syndicate.org/commentary/china-one-belt-one-road-loans-debt-by-brahma-chellaney-2017-01?barrier=accesspaylog.

financial and the benevolent to political, economic, and other realms. It also considers whether China's 'no questions asked' policy could be detrimental to its interests in the long run.

2 CHINA AS A CREDITOR

2.1 Chinese Data

A key difference between Chinese credit and investments and other forms of international transactions is that China doesn't report its official lending.[15] China's average annual foreign aid budget is $4.8 billion.[16] The Chinese government does not provide a breakdown of how much aid was given to each country, nor do they include project-level reporting. The only data available are global and regional aggregate estimates of foreign aid provision. The most well-hidden details pertain to the Chinese government's more commercially-focused and less concessional loans to developing countries, which by some estimates, account for approximately eighty percent of total Chinese government financing to such countries.[17] Researchers have attempted to overcome this obstacle of data paucity by independently collecting and consolidating information on Chinese lending and aid from borrower governments, multilateral institutions, Chinese contractors, media reports, and other sources. Data constraints have forced this paper to rely on external research published by non-official sources for information on external Chinese projects and investments. However, it must be noted that such sources could suffer from confirmation bias, whereby researchers attempt to find data that confirms their pre-existing hypotheses - this is especially important given the polarisation in scholars' opinions on the Chinese lending debate.

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[15] Horn, Reinhart, and Trebesch, "China's Overseas Lending.",2.
[16] "China's Foreign Aid (2014)."
[17] Scott Morris, Brad Parks, and Alysha Gardner, "Chinese and World Bank Lending Terms: A Systematic Comparison across 157 Countries and 15 Years," *Centre for Global Development* 170 (2021): 4, https://www.cgdev.org/sites/default/files/chinese-and-world-bank-lending-terms-systematic-comparison.pdf.

2.2 Largest Creditor to Developing Countries

Another factor that distinguishes Chinese investments is that the Chinese government - through its major policy banks, state-owned commercial banks, and government agencies - undertakes most of the overseas lending and portfolio investments.[18] China has also supplied assistance to regional organisations like the African Union in addition to the 121 countries in Asia, Africa, Oceania, Latin America and the Caribbean that it aided between 2010 to 2012.[19] Most of China's loans go to developing low- and middle-income countries and it is becoming increasingly clear that China now represents the largest official external creditor to such governments worldwide. By some estimates, it is larger than the IMF and World Bank individually both in volume and reach and all of the Paris Club (a group of 22 high-income creditor countries who are supposed to work together towards finding solutions for debtor countries) creditors combined.[20] This is partly due to the fact that wealthy countries such as New Zealand and the United Arab Emirates are ineligible to borrow from the World Bank; by some estimates, New Zealand relies on China for over 50% of its loans, and 100% of the loans undertaken by the UAE are from China.[21]

China's transformation to the largest creditor for developing countries has coincided with an increasing risk of debt burden and distress in these economies due to highly unfavourable lending terms to underperforming domestic economies.[22] According to Hurley, Morris, and Portelance,[23] 23 countries enrolled in the BRI are at risk of debt distress (as per World Bank/IMF debt sustainability analyses), and eight of them are severely vulnerable due to future BRI-related inflows. Horn et al. estimate that over 20 countries owe more than ten percent of their national income to China. They also suggest that low-income countries jointly owe significantly more to

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[18] Horn, Reinhart, and Trebesch, "China's Overseas Lending.",71.
[19] "China's Foreign Aid (2014)."
[20] Horn, Reinhart, and Trebesch, "China's Overseas Lending.",21.
[21] Morris, Parks, and Gardner, "Chinese and World Bank Lending Terms: A Systematic Comparison across 157 Countries and 15 Years.",39.
[22] Morris, Parks, and Gardner, "Chinese and World Bank Lending Terms: A Systematic Comparison across 157 Countries and 15 Years.",14.
[23] John Hurley, Scott C. Morris, and Gailyn Portelance, "Examining the Debt Implications of the Belt and Road Initiative from a Policy Perspective," *Journal of Infrastructure, Policy and Development* 3, no. 1 (June 28, 2019): 139, https://doi.org/10.24294/jipd.v3i1.1123.

China ($380 billion) than they owe to all 22 members of the Paris Club combined ($246 billion).[24]

2.3 Nature of Investments and Aid

Post the commencement of the BRI initiative, China's main aim has been to deepen trade ties and create seamless connectivity with developing countries. In order to achieve these objectives, China has invested heavily in energy, transport and information and communications technology across continents over the last decade.[25] From 2010 to 2012, a total of 580 construction projects were undertaken in 80 countries that were mainly focused on agriculture and infrastructure.[26] Investments abroad in infrastructure include projects such as roads, dams, ports, and airports in countries like Kenya, Laos and Sri Lanka respectively. Within the realm of infrastructure, aid is most common in the form of construction of factories or development of transport facilities. Other investments are in the sectors of energy, medicine and telecommunications. China's investments in the energy sector are focused on fossil fuel operations that aggravate climate change, specifically coal.[27] China has spent over 40 billion USD FDI for coal-fired power stations since 2000, and 11 out of 20 of the world's biggest developers of coal are Chinese. China has also invested large amounts in Russian, Ecuadorian, Brazilian, Venezuelan and Angolan oil projects.[28] However, Chinese aid is increasingly being used to build low carbon energy-generation projects, with the number of solar and wind projects it has invested in rising since 2009 - in 2014, China's investments in low carbon projects was approximately equal to that in high carbon projects, as compared to 2009, where the former was approximately 10% of the total investments made.[29] This is in line with its commitment to reduce

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[24] Horn, Reinhart, and Trebesch, "China's Overseas Lending.", 14
[25] Helena Vieira, "China is investing in developing countries – what is it really up to?," LSE Business Review, October 1, 2018, https://blogs.lse.ac.uk/businessreview/2018/10/01/china-is-investing-greatly-in-developing-countries-what-is-it-really-up-to/#:~:text=In%20fact%2C%20China%20is%20investing,with%20developing%20and%20transitioning%20economies.
[26] "China's Foreign Aid (2014)."
[27] Kevin Gallagher, "China Global Energy Finance: A New Interactive Database," *GEGI Policy Brief Boston University Global Economic Governance Initiative* 002 (March 2017):2, https://www.bu.edu/pardeeschool/files/2017/03/China-Global-Energy.-Gallagher.Finaldraft-1.pdf..
[28] Vieira, "China is investing in developing countries – what is it really up to?"
[29] Helena Vieira, "China is investing in developing countries – what is it really up to?," LSE Business Review, October 1, 2018, https://blogs.lse.ac.uk/businessreview/2018/10/01/china-is-investing-greatly-in-developing-countries-what-is-it-really-up-to/#:~:text=In%20fact%2C%20China%20is%20investing,with%20developing%20and%20transitioning%20economies.

global greenhouse gas emissions as per the Paris Agreement, and is enabled by its comparative advantage in using greener technology for production.[30] There is also a conscious effort towards promoting better healthcare abroad, with China providing 800 million yuan worth of medical equipment and supplies to African countries.[31]

Telecommunications projects such as those taken up in Turkmenistan, Togo and Eritrea ensure high quality and stable communication systems to citizens, and China's assistance in optical cable transmission networks in Cameroon and Tanzania have promoted their usage in African countries.[32] A large part of the aid is also in the form of human capital building wherein Chinese experts on matters such as agriculture, education and medicine were sent to developing nations to impart knowledge, skills or consult on various matters to increase accuracy, productivity and efficiency. Aid also often comes in the form of zero export tariffs - in 2005, China offered 25 of the least developed African nations zero tariffs on taxable items in 190 categories. From 2008, it was the largest exporter of commodities from these countries for five years consecutively.[33]

3 ORIGIN OF CHINESE FUNDS

China adopted its 'going out' strategy in the late 90s to deal with its accumulation of foreign exchange reserves owing to trade surpluses[34]. To prevent the risk of inflation and currency revaluation if these reserves were to enter the domestic economy, China expanded its official lending to other countries. As of 2022, China's central bank, the People's Bank of China, has the largest foreign exchange reserves in the world, totaling upwards of USD three trillion.[35] Chinese lending institutions have an incentive to not only invest in overseas assets but also lend to indebted countries above their annual domestic return on foreign exchange reserves. However, the lack of transparency in Chinese documentation hinders the authors from knowing the origin

[30] Ehtisham Ahmad, Isabella Neuweg, and Nicholas Stern, "China, the World and the next Decade: Better Growth, Better Climate," *Centre for Climate Change Economics and Policy*, April 2018, 2,7, https://www.lse.ac.uk/granthaminstitute/wp-content/uploads/2018/04/Ahmad-et-al_China-the-world-and-the-next-decade_Better-growth-better-climate-1.pdf.
[31] "China's Foreign Aid (2014)."
[32] Ibid.
[33] Ibid.
[34] Morris, Parks and Gardner, "Chinese and World Bank Lending Terms," 7.
[35] Global Times, "China's Forex Reserves See Largest Single-Month Increase since 2013 in Nov: Data," *Copyright 2021 by the Global Times*, n.d., https://www.globaltimes.cn/page/202212/1281345.shtml.

of the Chinese funds invested or loaned out to countries, beyond their massive resources of foreign exchange.

4 TERMS AND CONDITIONS OF CHINA'S CREDIT

Foreign assistance in China is under the unified management of the Ministry of Finance. According to the 2014 white paper on China's foreign aid in the period 2010-12,[36] China grants three kinds of loans. **Grants** or *aid gratis* and **interest-free loans** are offered to help countries develop social welfare projects including "human resources development cooperation, technical cooperation, material assistance, and emergency humanitarian aid".[37] The last category of these loans is **concessional loans**, which are mainly used to "help recipient countries undertake manufacturing projects and large and medium-sized infrastructure projects with economic and social benefits, or for the supply of complete plants, machinery and electronic products".[38] This section focuses on the terms and conditions of China's loans to other countries and performs a comparison with World Bank policies to analyse how concessional these terms are.

This paper compares China's lending policies with those of the World Bank for two primary reasons. The first is that the scale of China's loans is comparable only to the World Bank, far outdoing all other bilateral creditors and even some multilateral creditors such as the IMF, as aforementioned. The second is that the World Bank has developed certain norms regarding public debt, which other official lenders are encouraged to comply with. This includes standards to make comparability useful, such as identifying debt sustainability risk and measuring the concessionality of lending terms.[39] This section focuses on the latter.

Concessionality is the extent to which loans are offered at below-market rates. The World Bank defines two types of concessionality - **loan concessionality,** measured as the grant proportion of a loan, and **portfolio concessionality**, which measures the overall concessionality of a portfolio of debt to a country or group of countries.[40] The latter includes grants as well as

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36 "China's Foreign Aid (2014)."
37 Ibid.
38 Ibid.
39 Morris, Parks and Gardner, "Chinese and World Bank Lending Terms," 1.
40 Ibid., 7.

grant elements of all kinds of loans. The literature shows that financing offered on concessional terms, including low interest rates, long maturities, and extended grace periods, reduces the likelihood of recipient countries facing a debt crisis. The terms of concessionality in a loan agreement account for the borrower's ability to repay based on level of development and debt record.[41]

4.1 World Bank's Lending Terms

The World Bank uses a differentiated pricing model based on the repayment ability of the borrower. They offer below-market terms to poorest, least creditworthy borrowers through IDA (International Development Association) grants and non-concessional market terms to more creditworthy middle, upper-middle, and high-income countries. The World Bank manages its credit risk in its portfolio by effectively having low risk countries subsidise the concessional terms it offers to higher risk countries.[42] This is a viable practice only due to the World Bank's status as a preferred creditor compared to other multilateral institutions; this implies that it receives assured repayment even when the debtor countries are unable to repay their alternative debt.

4.2 China's Lending Terms

Unlike the World Bank, China is not a unified creditor with a single framework that guides all credit activities. A formidable portion of China's loans are not undertaken through grants or government lending, but through state banking loans.[43] Such loans are not included in official reports of government debt. The Chinese lending network consists of state-owned policy banks, state-owned commercial banks, and state-owned enterprises (SOEs), each of whom has their own lending policies. Below is a summary of terms on loans from different Chinese lending institutions.[44]

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[41] Luca Bandiera and Vasileios Tsiropoulos, "A Framework to Assess Debt Sustainability and Fiscal Risks under the Belt and Road Initiative," *World Bank, Washington, DC EBooks*, June 17, 2019, https://doi.org/10.1596/1813-9450-8891, 24.
[42] Morris, Parks and Gardner, "Chinese and World Bank Lending Terms," 5.
[43] Ibid., 5.
[44] Ibid., 6.

1. China's Ministry of Commerce (MOFCOM) offers no-interest loans via "Economic and Technical Cooperation Agreements". Often, these are the first loans to be forgiven when a borrower experiences roadblocks in repayment.
2. Export-Import Bank of China (Exim Bank) offers concessional loans to government institutions. The difference between the central bank's benchmark rate and these loans is reimbursed by the Ministry of Finance. It also offers preferential export buyer's credits to government institutions that intend to buy Chinese exports, which have higher rates and shorter maturity and grace periods than the concessional loans it offers.
3. China Development Bank (CDB) and state-owned commercial banks (Bank of China, Industrial and Commercial Bank of China, China Construction Bank, and Agricultural Bank of China) provide non- and semi-concessional loans to government agencies and companies. This is because they maintain their own balance sheets and unlike the Exim bank, do not receive subsidies from the Ministry of Finance.

Morris et al.'s analysis shows that China's official lending is less concessional than the World Bank's and other Western and multilateral lenders.[45] The Chinese loan portfolio was approximately thirty percent less concessional than that of the World Bank, with interest rates nearly twice as high as the latter and average grace periods far longer on World Bank loans compared to Chinese ones.[46] However, as aforementioned, nearly all official Chinese loans have some elements of concessionality which make them more attractive compared to market sources of finance.[47]

4.3 Dealing with the Risk of Default

Chinese loan contracts have extensive repayment safeguards, more so than other lenders in the official credit market, which allows them to essentially obtain a guarantee of repayment from their borrowers.[48] These contracts contain distinctive provisions, including confidentiality undertakings regarding the terms of the contract, commitments to exclude Chinese lenders from

[45] Ibid., 17.
[46] Ibid., 13-14.
[47] For reasons of lack of reliable data, this paper does not analyse the terms on unofficial pledges and other unofficial loans by the Chinese government to debtor countries. However, it is not unreasonable to conclude that such loans, being under little scrutiny from the international community, would have less concessional terms than official loans.
[48] Anna Gelpern et al., "How China Lends: A Rare Look into 100 Debt Contracts with Foreign Governments," *Social Science Research Network*, May 6, 2021, https://doi.org/10.2139/ssrn.3840991, 8.

the Paris Club and other similar debt restructuring collectives, maintaining escrow accounts to secure debt repayment, and cross-default terms that would reinforce China's position in the borrower country.[49] Oftentimes, this means that the borrower country may be forced to sell off assets that are crucial to their country, which can give China incredible power over their internal affairs. For instance, Laos, a small neighbouring country to China, received a loan from China in 2016 worth $480 million to cover part of the funding required to build a railway line. In 2020, even before the railway began operations, Laos sold part of its energy grid for $600 million to China seeking debt relief in the face of bankruptcy.[50] This left the already vulnerable country, being one of the poorest countries in South-East Asia, further at risk. Such terms of Chinese lending back the borrower country into a corner, ensuring they remain further in debt to China.

Moreover, many Chinese state development loans require uncustomary forms of collateral. For instance, a Chinese debt contract with Venezuela requires the borrower to deposit foreign currency earned from selling oil into a Chinese bank account. The deal stated that the lender can immediately withdraw the amount from the account if a debt payment is missed.[51] Such provisions that demand earnings from sale of natural resources are becoming increasingly common in Chinese loan agreements, with the resource-backed model being a popular form of lending.

5 CHINESE VS. WESTERN AID POLICY

The West has been a primary source of foreign aid to developing countries in the form of bilateral as well as multilateral aid along with the World Bank or IMF. In fact, Europe has been the largest donor of Official Development Assistance, providing around 55.2% of global assistance followed by the USA at 23% . However, these forms of aid, tied to political conditionalities, impose an inherent top-down relationship with the recipient countries in terms of political interference and economic sanctions. China, a rising player in the foreign aid market, has also been accused of neocolonist behaviour towards other developing countries by

[49] Zainab Usman, "What Do We Know About Chinese Lending in Africa?," Carnegie Endowment for International Peace, June 2, 2021, https://carnegieendowment.org/2021/06/02/what-do-we-know-about-chinese-lending-in-africa-pub-84648.
[50] By Celia Hatton, "China: Big Spender or Loan Shark?," BBC News, September 29, 2021, https://www.bbc.com/news/world-asia-china-58679039.
[51] Steffanie G. Urbano, USAF, "Chinese Neocolonialism in Latin America - An Intelligence Assessment", *Journal of the Americas,* 3rd Ed., https://www.airuniversity.af.edu/Portals/10/JOTA/Journals/Volume%203%20Issue%203/03-Urbano_eng.pdf, 186.

intentionally lending to countries with a huge debt burden and subsequently taking control of their assets when they inevitably default. This was observed in the case of the seizure of the Hambantota port in Sri Lanka in 2017. Although both the West and China seem to exhibit neocolonial traits in their lending policy, several developing countries seem to view China as the "lesser evil". This is especially seen in the context of African countries - a huge recipient of foreign aid from the West as well as China.[52] This section aims to evaluate the development aid policy of both these lending giants in Africa and deduce the reasons behind why Africa prefers Chinese aid.

5.1 A Summary of Chinese Aid Policy in Africa

China offers interest-free loans as well as concessional loans to African countries in order to primarily fund infrastructure projects, followed by agriculture, mining and manufacturing projects. They also provide grants that are used to fund social welfare projects related to education and healthcare. The main advantage of Chinese loans is that they are largely free of political ties and are tagged with a "non interference" policy, typically staying out of the internal affairs of African countries.[53] China also stresses on more of a partnership relationship rather than a donor recipient relationship in its aid policy. This aim of equality and mutual benefit in partnership is further endorsed by China's South-South solidarity rhetoric.[54] A drawback of China's aid policy is its inherent lack of transparency - China opted out of international reporting systems such as the OECD's Creditor Reporting System and the International Aid Transparency Initiative[55] - and its natural resource-centric model. In this model, China offers loans backed by resources such as oil, cocoa beans, copper, etc., operating as in the Venezuela example. This system has allowed even highly debt-burdened but resource-rich countries such as Angola to obtain debt from China. The problem with these loans is that if there is a fluctuation in the revenues of these resources, the country is under risk of default and further indebtedness. Moreover, due to the lack of transparency of China's investment, it is not entirely known whether the value of the infrastructural projects undertaken by China in Africa are commensurate with the earnings from resources obtained by them, leading to information asymmetry between the donor

[52] Kucukbakkal, "The Real Intention of China in Africa: Comparison with the EU in the Light of Neo-Colonialism," *Charles University*, 2021., 32
[53] Ibid., 40
[54] Ibid.
[55] "China is investing in developing countries – what is it really up to?"

and recipient country.[56] It is seen that although China's ulterior motives behind lending to African countries remain undisclosed due to their lack of transparency, they do seem to aid the development of African countries in certain ways.

5.2 Western Aid Policy - A Summary

The Western Development policy in China is characterised by four main practices. The first is the imposition of political conditionalities in their aid policies. These mainly pertain to democracy, human rights, transparency and accountability. Violation of these policies can lead to suspension of aid received by borrower countries. These conditions not only cement an unbalanced power dynamic between the donor and recipient, but are also inconsistently imposed. European countries are seen to follow a selectivity approach in their implementation of political conditionalities. According to research conducted by Del Biondo (2015), out of ten African countries that were candidates for sanctions due to violation of political conditionalities between 2000-11, only seven countries were sanctioned, and the non-sanctioned ones were found to be strategically important countries for the European Union (82). While the West insists that it provides cash support rather than infrastructural support to emphasise the concept of "ownership" and enable the recipient to use it in ways that benefit them, it is a common perception that this is done to make it easier to impose political conditionalities.[57]

Secondly, the West is seen to invest in Africa primarily for its own benefit with very little interest in actually contributing towards African development. The USA is seen to invest a large amount of money (75% of FDI) purely in resources such as oil for its own benefit. China, on the other hand, invests 64% of its FDI in manufacturing and only 28% in natural resources. Western countries also tend to import raw materials rather than finished products from Africa and export goods that are much more expensive than Chinese exports in return. Chinese investments are seen to aid Africa in increasing demand for their finished products rather than just raw materials. Moreover, Western countries are seen to practise protectionism that inhibits African exports especially in the field of agriculture, despite the establishment of free trade laws.[58]

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[56] "The Real Intention of China in Africa: Comparison with the EU in the Light of Neo-Colonialism," 2021., 24
[57] Ibid., 41
[58] Barry Sautman and Yan Hairong, "Friends and Interests: China's Distinctive Links with Africa," *African Studies Review* 50, no. 3 (December 1, 2007): 75–114, https://doi.org/10.1353/arw.2008.0014., 93

The third characteristic of western aid is its need for transparency. For instance, the European Union along with the IMF required Angola to sign a deal regarding transparent economic management before providing it with aid.[59] This might discourage extremely debt burdened countries who have a greater chance of default and a greater incentive for moral hazard from borrowing from the West.

Fourthly, the Western aid policy is associated with a large amount of brain drain from African countries. Africans who migrate to receive education and training in the US tend to settle there rather than contribute to their own country's development. For instance, Ghana has lost 30 percent of the physicians educated within the country to countries like the US, UK, Canada, and Australia, countries which already have more than sufficient doctors, while Ghana suffers with only six doctors per 1000 people.[60] Thus, the Western aid policy is seen to use African resources to benefit its population while eroding the income and social welfare of the African continent.

5.3 Why Do African Countries Prefer Chinese Aid?

The summary of the literature on Chinese vs. Western aid policies in Africa tells us that China is preferred to the West as a creditor primarily because of freedom from political conditionalities. As a continent that has been colonised and exploited by the West in the past, Africans still feel strongly about the unbalanced power dynamic they share with the West, with countries like the US constantly interfering with African politics through its support or dissent against authoritarian regimes according to how it benefits. China's 'no interference policy' is a refreshing change to this Western interference. Moreover, due to the South-South solidarity and to the fact that China was itself once an underdeveloped country that rose from the shackles of underdevelopment without Western practices such as deregulation, privatisation and cuts in social expenditure, Africans tend to resonate more with the Chinese.[61]

Another major reason for African countries choosing China is its 'no transparency' requirement, whereby the recipient countries did not have to go through the process of excessive disclosures when obtaining a loan from China. After the 2008 global crisis, African countries suffered from a huge infrastructure deficit that hindered foreign investment due to an increase in the chances of adverse selection and moral hazard in extremely underdeveloped regions. For

[59] "The Real Intention of China in Africa: Comparison with the EU in the Light of Neo-Colonialism," 2021., 34
[60] Sautman and Hairong, "Friends and Interests: China's Distinctive Links with Africa.", 92
[61] Ibid., 81.

instance, given the dearth of sufficient funding and the economic slowdown, it was likely for companies to take loans that they wouldn't be able to pay back due to inadequate revenues. While the West set forth conditions of transparency to reduce the information asymmetry problem, China's 'no transparency' requirement provided a way out to these struggling African countries. China found a way to tackle the information asymmetry using lending practices like resource-backed loans and asset seizure.[62]

Plagued by present bias, African countries currently view minimal-conditionality Chinese investments as an attractive borrowing instrument without considering the potential long run negative implications of these borrowings, such as the aforementioned case of "asset stripping" in Laos.

6 ALTRUISM VS. GEOPOLITICAL INTERESTS

The West, along with certain sections of the population of developing countries, have been against China's lending policy and its potential ill effects on developing countries in the long run through its debt trap diplomacy - The New York Times coined the term 'rogue donor' for China in 2007 .[63] Some of their concerns are primarily driven by lack of available data on China's aid funding due to their aforementioned 'non-transparency' and 'no questions asked' policies. This section explores whether these concerns are warranted given China's aid policy implementation so far. It aims to analyse whether the investments predominantly aim to satisfy Chinese geopolitical interests - an indication of debt trap diplomacy - or whether they actually help in local capacity building and development of transitioning economies.

Studies show that China exerts maximum influence on "vulnerable countries" that face the highest number of challenges in terms of mitigating economic and political risks. These vulnerabilities include fragile state institutions and weak civil society and provide China with the perfect opportunity to implement its 'no transparency' policy. This is because fragile state institutions do not have the ability to conduct robust due diligence and adequate investment screening. Weak regulatory bodies and institutions with uneven law-enforcement capabilities, or poor anti-corruption systems make it difficult for these countries to review executive or

[62] "The Real Intention of China in Africa: Comparison with the EU in the Light of Neo-Colonialism," 2021., 24
[63] Naím, "Opinion | Help Not Wanted."

legislative decisions. This allows China to get away with its non-transparent investment practices along with its potential larger aim to spread Chinese influence among the local masses. In the absence of a strong civil society and an independent media to keep a check on such activities, China finds it even easier to exert its influence.[64] A prime example of a set of countries that face such a high degree of Chinese influence are in Latin America.

6.1 Looking through the lens of Latin America

With a large increase in investments in Latin America over the past decade, China has also exerted a high degree of economic and financial dominance and cultural influence over these countries. Venezuela has been victim to China's debt entrapment policy when it was unable to pay its outstanding debts to the Chinese Development Bank as a part of their previously mentioned crude oil-backed loan agreement, on account of political instabilities that existed within the nation during the Maduro regime. Due to its high indebtedness, Venezuela was forced to create the Anti-Blockade Law that allows foreign investments in previously State-owned infrastructure. This could potentially have a negative impact on local capacity-building, as the Chinese do not have the incentive to provide opportunities to the local workers and consider local interests, which would have ideally been the aim if infrastructural control still lay in the hands of the State. Venezuela's socio-economic and political distress has thus cemented its dependence on China.[65]

China's disincentive to provide for local capacity building can be seen in its Mergers and Acquisitions policy. Chinese companies in Latin America are acquiring domestic industries and repopulating them with Chinese workers and management. For example, Chinese companies and banks together acquired an 83.6% stake in Peru's Luz del Sur, Peru's largest electricity company,[66] aiming to control the region's critical infrastructure through its own management and workers. The neglect of local labour is similar to the condition in Africa wherein China is more

[64] Deep Pal, "China's Influence in South Asia: Vulnerabilities and Resilience in Four Countries," Carnegie Endowment for International Peace, October 13, 2021. https://carnegieendowment.org/2021/10/13/china-s-influence-in-south-asia-vulnerabilities-and-resilience-in-four-countries-pub-85552.
[65] Urbano, "Chinese Neocolonialism in Latin America," 187.
[66] Ray, "2020: A Point of Inflection in the China-Latin America Relationship?," *Global Development Policy Center, BU*, 2021.

inclined towards employing Chinese workers rather than improving local employment and skill transfer through long-term training.[67]

Concerns are being raised about the increasing Chinese demand for South American raw materials and its imports of cheap manufactured goods - a potential for de-industrialisation in these countries. A similar fear is growing in the African continent with its rising demand for Chinese imports.[68] A study conducted to measure the relative export dependence of South American countries on China revealed that the higher the commodity dependence, the more vulnerable any exporter will be to a disruption of trade with China. The study found that Brazil, Argentina, Chile and Peru rely on Chinese demand more heavily than any other Western importer. Argentine soybean exports are among the most dependent on Chinese demand, which constitutes 83% of the share of its exports.[69] This commodity dependence adversely affected Argentina in 2009 when China cut off all imports of Argentinean soy in a bilateral trade dispute, affecting the local soybean industry significantly. China is thus able to leverage its position to its advantage in aid policies due to its dominant importer status.[70]

China's influence does not stop with its economic and financial manifestations. China also exerts a significant cultural influence on the local masses of Latin America and Chinese diaspora by establishing institutions that promote the pro-China discourse, the Chinese language and culture. This is speculated to be a build up to China's aim of "One China" and global Chinese hegemony rather than aiming to educate the local population to contribute towards local development through these institutions.[71]

China also satisfies its political interests through more drastic measures. Recently, China targeted Paraguay, Taiwan's only remaining South American ally, with vaccine diplomacy, taking advantage of Paraguay's low vaccination rate and high number of COVID-19 cases. China continues to pressure Paraguay into not acknowledging Taiwan's sovereignty in exchange for vaccines and medical equipment. Thus, China might not be guided solely by its interest in the development of struggling economies but rather by its own geopolitical interests.[72]

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[67] "The Real Intention of China in Africa: Comparison with the EU in the Light of Neo-Colonialism," 2021., 41
[68] Alicia García-Herrero, Matt Ferchen, and Mario Nigrinis, "Evaluating Latin America's Commodity Dependence on China," *Social Science Research Network*, January 21, 2013, https://doi.org/10.2139/ssrn.2253159., 10
[69] Ibid.
[70] Ibid.
[71] Urbano, "Chinese Neocolonialism in Latin America," 193.
[72] Ibid., 194

While China's growing economic presence in South America has positively impacted development, scientific innovation, and Latin America's geo-political relevance to an extent, the long term implications of these policies might not be as shiny.[73] Attracted by the short-term rewards, Latin American countries show time-inconsistent preferences without considering the consequences in the long-run in terms of debt entrapment, commodity dependence, reduced local capacity building and Chinese hegemony. A major reason for this present bias could also be China's 'no questions' policy that makes it difficult to predict the long-term impacts of their aid policy.

6.2 'No Questions' Policy - Can it work against China ?

While China's 'no questions' policy with respect to its developmental aid has attracted several developing countries, it has received severe backlash from the West. Moreover, its increasing commercial interests in developing countries, especially in Africa, are making its investment policies more exploitative and disadvantageous for the recipient country. China's renewed exploitative interests are coming at a time of increased political liberalism, activism and space to express dissent against exploitative relations between Africa and other countries. This political awakening is enhanced by Chinese investments supporting the advancement in mass communication technology through the sale of cheap mobile phones that provide access to several social media platforms, thus providing the rising African liberal class a medium to collectivise action and spread information. With the West positively influencing the educated class of Africans to adopt more democratic regimes, China might soon be victim to large-scale discord due to its investment policies that primarily deal with authoritarian African regimes. While its support of such regimes was initially seen in positive light in terms of its 'no interference' policy, increasing availability of information among the educated Africans is revealing the oppressive and undemocratic nature of both Chinese investments and the African regimes it associates with. Thus, China's contribution towards the development of infrastructure might be a barrier against its own practice of non-transparent investment policies in Africa.

[73] Ibid., 189

7 DISCUSSION AND CONCLUSION

The issue of whether China's motives for investing in other countries arises from altruism or their geopolitical interests is a polarising debate. Studies either accept the view that China is engaging in neocolonial behaviour or conclude strongly against it. The existing literature is riddled with confirmation bias, as discussed earlier. This is unsurprising since China's motivations will remain unclear so long as there is lack of accurate data on their lending practices - until the day this changes, all opinions on this will remain speculative.

China's lending practices and the policies associated with borrowing from it can have far-reaching consequences for international finance. This is especially of consequence if China uses its lack of transparency as a strategy to pursue debt-trap diplomacy. The issue of information asymmetry arises on two counts - between the borrower nation and China regarding the terms and conditions of the loan, as well as China's secretive attitude towards its overseas investments. Credit-constrained countries disproportionately discount the future because they are desperate for funds and international institutions and Western countries have previously failed them, compelling them to accept loans with murky terms from China. Thus, there exists a unique problem - the onus of screening and monitoring unconventionally falls upon the debtor instead of the creditor, since the latter (China) has control over the implementation of the projects they fund. Combined with the fact that their motivations are undisclosed, it allows China to influence the borrower nation's culture, politics and economy. This is exacerbated in countries with weak legal, regulatory, and civic frameworks. This leads to an imbalanced power dynamic, the implications of which are unclear at the outset but become apparent in the face of an extreme debt crisis.

This study concludes that despite a lack of decisive evidence, there exists a valid concern that the power that China wields through its lending practices extends beyond the debtor's financial capability to its sovereignty. The volume of China's loans and the number of countries that are in its debt, combined with its dubious motives, indicates a threat of Chinese influence on a global scale. However, with increasing awareness of China's suspicious lending practices among debtor countries and the international community at large, China may be faced with evolving public borrowing trends, and will be forced to reevaluate its foreign aid policies.

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